

Macquarie Income Fund

Quarterly Investment Report

Q1 2026 (January - March)

April 2026

Issued by: Macquarie Investment Management Limited

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Performance Summary

The Macquarie Income Fund returned +1.12% (after fees) for the quarter ended 31 March 2026, outperforming the Bloomberg AusBond Bank Bill Index return of +0.98% by 0.14%.

Fund Return (Q1 2026)	+1.12% (after fees)
Benchmark (Bank Bill Index)	+0.98%
Excess Return	+0.14%
1 Year Return	+4.85%
3 Year Return (p.a.)	+4.21%
5 Year Return (p.a.)	+3.12%
Since Inception (p.a.)	+4.48%
Fund Volatility (3yr)	0.35% p.a.
Sharpe Ratio (3yr)	2.15
Max Drawdown (3yr)	-0.18%
Running Yield	4.92%
Modified Duration	0.82 years

Performance Attribution

Quarterly excess return of +0.14% attributed as follows:

Credit Selection: +0.10%

Bank Senior Bonds	+0.04% (tightening spreads)
Corporate Bonds (BBB)	+0.05% (carry and roll)
ABS/RMBS	+0.01%

Duration/Yield Curve: +0.03%

Modest positive contribution from slightly long duration positioning ahead of expected rate cuts. Yield curve flattener contributed positively as the 2-3 year sector outperformed bills.

Other: +0.01%

Minor contribution from cash management and settlement timing.

Attribution is calculated internally and verified by the independent risk function. No third-party attribution audit is conducted given the simplicity of the strategy.

Tracking error for the quarter: 0.28% (annualised), within the target of <0.5%.

Portfolio Positioning

Current Allocation (31 March 2026)

Bank Deposits & CDs	32%
Bank Senior Bonds	24%
Corporate Bonds (A/BBB)	22%
Government/Semi-Govt	12%
Asset-Backed Securities	8%
Cash	2%

Credit Quality

AAA/AA	48%
A	31%
BBB	19%
Below IG	0%
Unrated	2% (bank deposits)

Key Metrics

Modified Duration	0.82 years
Weighted Avg Maturity	1.4 years
Number of Holdings	124
Largest Single Issuer	4.2% (Commonwealth of Australia)

Market Commentary

Q1 2026 saw stable short-term rates as the RBA maintained the cash rate at 3.85%. Market expectations for rate cuts shifted from Q1 to H2 2026, causing modest flattening in the 1-3 year part of the curve.

Credit spreads compressed further during the quarter. Australian investment-grade spreads tightened 5-10 basis points, driven by strong demand from institutional investors seeking quality income and limited new supply. The tightening benefited the fund's overweight position in bank and corporate bonds.

No credit events affected the portfolio during the quarter. All holdings maintained investment-grade ratings.

Benchmark Comparison

The fund's outperformance of 0.14% for the quarter and 0.64% for the trailing 12 months continues the long-term track record of exceeding the Bloomberg AusBond Bank Bill Index.

The benchmark remains highly appropriate: the fund's portfolio duration (0.82 years) is close to the benchmark duration (~0.2 years), with the differential reflecting the modest duration extension permitted by the mandate to enhance returns.

The Bloomberg AusBond Bank Bill Index has been the fund's benchmark since inception (November 2000) with no changes. There are no plans to change the benchmark.

Risk Update

VaR (95%, 1-day)	0.02% of NAV
Tracking Error (realised)	0.28% p.a.
Credit Duration	1.1 years
Spread Duration	0.9 years

All risk metrics remained well within permitted limits throughout the quarter. No limit breaches occurred.

Stress test results (Q1 update): Under a +100bp rate shock scenario, estimated fund impact is -0.82%. Under a credit spread widening of +100bp, estimated impact is -0.95%. Both within acceptable ranges given the fund's low-risk mandate.

Outlook

Portfolio positioning for Q2 2026:

- Duration: Maintain slightly long positioning (0.8-0.9 years) ahead of potential H2 rate cuts
- Credit: Continue to favour bank senior and A-rated corporates. Modest reduction in BBB exposure given tight spreads.
- ABS: Maintain allocation to prime RMBS given attractive relative value
- Liquidity: Maintain above-minimum liquidity buffer given uncertain macro environment

Fund Facts

Fund Size (31 March 2026) AUD 4,215 million

Unit Price (31 March 2026) \$1.0024

Distribution (March) 0.38 cpu

Number of Unitholders ~12,400

Net flows for Q1 2026: +AUD 145 million (net inflows). The fund continues to attract institutional and retail investors seeking quality short-duration income.